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Law of EMU

Definition:-

According to law of EMU:

"If other things remain constant and consumer spend his money on diff goods in such a way that MU of all goods being purchased become equal per unit of money then TU become maximum and this situation is called consumer equilibrium."

Math Explanation:-

Mathematically
law of EMU can be written as:

$$C.E = \left(\frac{MU^A}{P^A} = \frac{MU^B}{P^B} = \dots \frac{MU^N}{P^N} \right)$$

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Explanation

We explain the law of EMU with help of table and diagram:

Table:

units	MU^x	MU^y
1	14	12
2	12	10
3	10	8
4	8	6
5	6	4
Total:	50	40

Explanation:-

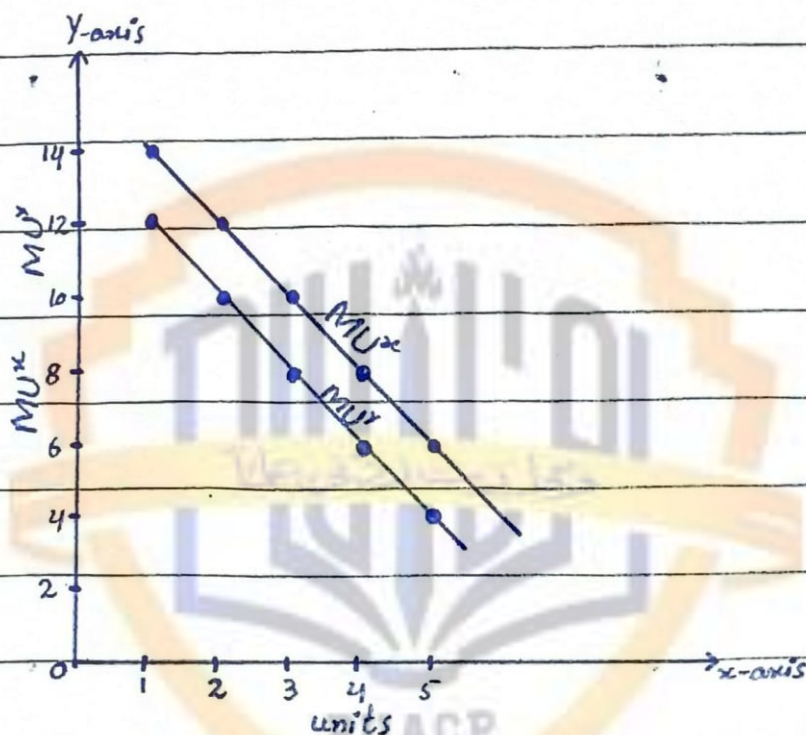
In table we shown units in 1st column, MU of x in 2nd column and MU of y in 3rd column. By this table it is prove that when the $MU^x = MU^y$ the total utility is maximum and this situation is called consumer equilibrium.

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If $MU^x \neq MU^y$ then TU is not maximum.

Diagram:-



Explanation:-

In diagram on x-axis we shown units and on y-axis we shown MU^x and MU^y . We draw MU^x curve using units and MU^x , and MU^y curve using units and MU^y . If the $MU^x = MU^y$, then TU is maximum.

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and if $MU^x \neq MU^y$, then TU is not maximum.

Assumptions:-

Different assumptions for the EMU are as follows:-

Rational consumer:-

Law of EMU is applicable in a case when consumer is rational.

Units of money:-

Law of EMU is applicable in a case when a consumer has some amount of money.

Commodities:-

Law of EMU is applicable in a case when consumer wants to purchase different commodities.

Price:-

Law of EMU is applicable in a case when the price of all commodities is equal.